

ROOM FOR GROWTH



As part of the proposed demerger, ITC will hold 40 per cent in ITC Hotels Ltd while other shareholders will own the rest 60 per cent



Upon its listing on the exchange(s), the demerged ITC Hotels will become the country's second-largest hotel chain, with a market cap of ₹25,000 crore



The ITC management expects a sizeable increase in the company's profitability: an 18-20 per cent rise in ROCE and a 10 per cent growth in ROIC



The spin-off will free up capital and improve efficiency in capital allocation for ITC Ltd, as the hotels business consumes 20 per cent of its capex



ITC Hotels will be a debt-free well-capitalised entity; to follow an 'asset-right' strategy, leveraging the goodwill, brand equity and synergies of ITC

per cent to the total Ebitda (earnings before interest, taxes, depreciation, and amortisation) of the group. In fact, the performance of ITC's hotels division lags leading hotel companies in the country. Take Indian Hotels Company (IHCL) for comparison, which reported revenues of ₹5,949 crore in FY23, while its Ebitda stood at ₹1,943 crore, with an Ebitda margin of 32.7 per cent, against ITC's 31.7 per cent.

However, ITC's management is certain that the demerger will boost both the company's efficiency in allocating capital and improve profitability. In an analyst call after the demerger was announced, the leadership said that they expect a rise of 18-20 per cent in ITC Ltd's return on capital employed (ROCE) after the demerger; while its return on invested capital (ROIC), a measure of how successfully a company allocates resources to profitable projects or investments, may rise by 10 per cent. According to the company's management, the separated hotels business will have a strong debt-free balance sheet and it'll also be well-capitalised. The demerger will also allow the spun-off firm to chart its own growth path, raise its own resources and funds based on an "asset-right" strategy (which means the assets they will hold or purchase will be based on in-depth research to ensure that they are optimal in the overall scheme of things), and leverage ITC's goodwill, brand value, synergies, and more, to stabilise the hotels business.

The management says the demerged entity would continue developing its hotels business through management contracts, especially for emerging brands like Stori and Mementos. Global financial services company Morgan Stanley has stated in a report that the demerger should enhance ITC's financial ratios and unlock value for shareholders by providing them with a direct interest in the pure-play hotels sector.

Under ITC's direct fold, the hotels business has expanded its rev-

enues at a compound annual growth rate of 11 per cent and inventory at 160 per cent to 11,600 rooms, at the end of FY23, from 4,472 in FY03. With Covid-19 behind us and corporate and leisure travel back on track, analysts expect the move to enhance ITC's hotels business in the coming years while increasing capex in the company's core fast-moving consumer goods business.

Analysts from Nuvama say the hotels industry has recovered well post-Covid-19, and a favourable demographic profile and affluent aspirations offer further growth potential. They expect the newly listed company to become the second-largest hotel company in the country with a ₹25,000-crore market capitalisation. "The tourism business in India is in a bright spot. There are several favourable policies to support the sector," they note, adding that the hotel industry's five-year supply is expected to grow at a CAGR of 5 per cent, which is likely to be outpaced by demand—pegged at more than 7 per cent for the period. With net assets of ₹5,500 crore, the demerged entity's own accruals should be enough to fund its expansion goals, Jefferies analysts note.

According to Sanjiv Puri, Chairman of ITC, the proposed demerger is a testament to ITC's commitment towards creating sustained value for stakeholders. "Creation of a hospitality focussed entity will engender the next horizon of growth and value creation by harnessing the exciting opportunities in the Indian hospitality industry. In the proposed reorganisation, both ITC and the new entity will continue to benefit from institutional synergies," he said in a statement.

Subject to approvals, the management has proposed the new entity be named ITC Hotels Ltd. While they are yet to declare a date of its listing, Nuvama estimates it will take place within 12-18 months. **BT**

@arndutt